

MICHAEL SIMMS

***GFX / Leveraged Entity
Ownership Strategy: High
Income or Capital Gains
Tax Mitigation**



GFX / Leveraged Entity Ownership Strategy

A High-Level Overview for Referral CPAs & Financial Advisors

IRC §704(b) Compliant

13+ Year Track Record

Zero Direct IRS Audits



VERACITY ADVISERS
VIRTUAL | FAMILY | OFFICE

Safe Harbor & Tax Disclaimer



Read carefully before sharing with clients.

No Guarantee: Tax opinions are not binding on the IRS. Positions may be challenged and require litigation to defend.

Audit Risk: Participating in this strategy may increase the likelihood of IRS scrutiny and documentation requests.

Potential Liability: Disallowed positions may result in additional taxes, penalties, and interest.

Professional Advice Required: All clients must consult qualified tax counsel before participating. Veracity supports — but does not replace — your CPA relationship.



Client with \$1,000,000 income or Long-Term Capital Gain..

Charitable Trusts or Charitable Contributions (Leveraged, DAFs or 1:1 Donations)

Investments with Offsets or Deferrals: Solar, Oil & Gas, etc..

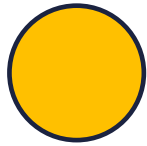
Retirement Deferral: Cash Balance or Pension Plans

Entity Structuring, Real Estate Depreciation, etc...

Beyond Reducing Taxes — What Matters Most?

Rank these outcomes from most important (1) to least important (4) for your situation

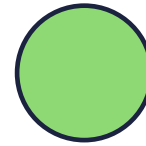
Tax savings are only the starting point. The right structure depends on which of these outcomes you value most:



Retain Maximum Ownership Value

How important is it to keep the largest share of what you've built?

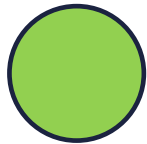
Preserving equity in your business, real estate, or appreciated assets — minimizing what is given up to taxes, fees, or third parties.



Control Unencumbered Capital

How important is keeping decision-making authority over your capital?

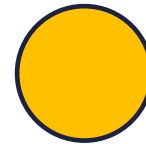
Direct control of investment choices, allocations, and timing — without lock-ups, restrictions, or surrendering authority to outside managers.



Liquidity Capability of Assets

How important is your ability to access or borrow against capital?

On-demand access to funds, ability to pledge assets for credit lines, and flexibility to respond to opportunities or unexpected needs.



Structured Income Stream

How important is predictable cash flow over a defined period?

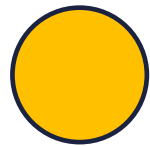
A reliable, scheduled income stream for a fixed window — retirement, college years, business transition, or estate planning timelines.

Your ranking shapes the strategy on what you value most.

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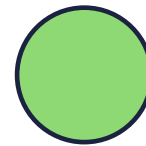
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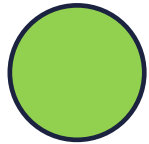
1 - 2 - 3 - 4



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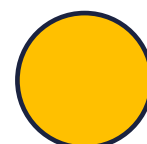
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Liquidity Capability of Assets

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Structured Income Stream

How important is predictable cash flow over a defined period?

1 - 2 - 3 - 4

What is the client's predominant motivation for saving tax:

Through this exercise you will identify what the predominant need for the tax saving dollars:

- Cash Flow?

- Liquidity?

- Reinvestment?

- Simple Tax Avoidance

Ideal Client Profile

\$1M+

Minimum Ordinary Income

OI, 1099, K-1

\$1M+

Minimum Capital Gains

LTCG or STCG events

Accredited

Investor Status Required

Per SEC Reg D



Business Owners

Selling a business; avoiding large OI or LTCG hit



Real Estate Investors

Avoiding 1031 lock-in; selling appreciated property



High-Income Professionals

Doctors, attorneys, consultants with \$1M+ AGI



Family Offices

Multi-gen deferral, wealth transfer, step-up planning



K-1 / 1099 Earners

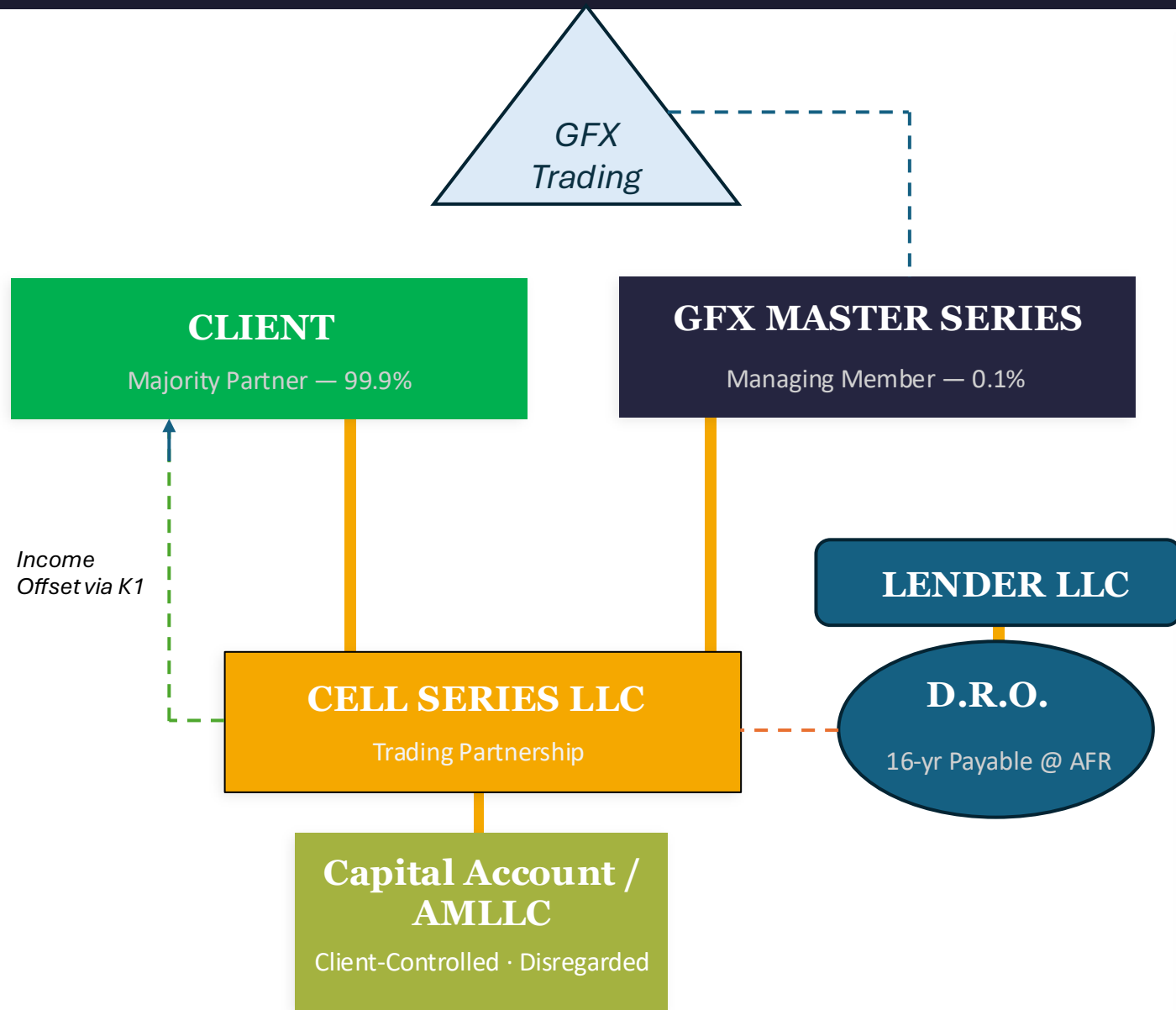
Partners, traders, self-employed high earners



Liquidity Founders

IPO, SPAC, or secondary sale — position before or after event

How It Works — Entity Structure & Year 1 Offset



Year 1 — How the Offset Is Created

Income Type	Contribution	Multiplier	K-1 Offset
Ordinary Income	12.5%	8×	\$1M per \$125K
LTCG	10%	10×	\$1M per \$100K
C-Corp	10%	10×	\$1M per \$100K

Year 1 Offset — Step by Step

- 1 Client contributes cash (12.5% or 10% of target)
- 2 GFX arranges DRO — creates entity basis (7x–9x)
- 3 ForEx trading expenses allocated to Cell LLC
- 4 100% of loss flows to client's K-1 in Year 1

California Client — Tax Savings Comparison

Federal + CA combined rates applied to \$1,000,000 income offset

CA Ordinary Income Rate

50.3% 37% Fed + 13.3% CA

CA Capital Gains Rate

37.1% 20% Fed + 3.8% NIIT + 13.3% CA

Scenario A — Ordinary Income

GFX Trading I LLC (OI / STCG)

Cash Contribution \$125,000

→ Non-Refundable to GFX \$50,000

→ Retained in Client AMLLC \$75,000

Veracity Admin Fee \$50,000

TRUE ECONOMIC COST \$100,000

Combined CA+Fed Tax Rate 50.3%

Tax Without LEOS \$503,000

Effective Cost With LEOS \$100,000

NET TAX SAVINGS \$403,000

Scenario B — Long-Term Capital Gains

GFX Trading II LLC (LTCG / C-Corp)

Cash Contribution \$100,000

→ Non-Refundable to GFX \$50,000

→ Retained in Client AMLLC \$50,000

Veracity Admin Fee \$50,000

TRUE ECONOMIC COST \$100,000

Combined CA+Fed Tax Rate 37.1%

Tax Without LEOS \$371,000

Effective Cost With LEOS \$100,000

NET TAX SAVINGS \$271,000

Scenario A saves \$403K vs. paying \$503K in tax (80% of taxes avoided)
Scenario B saves \$271K vs. paying \$371K in tax (73% of taxes avoided)

Legal & Tax Considerations

13+

Years Deployed

1,000s

Tax Returns Filed

Zero

Direct IRS Audits
Triggered by LEOS



IRS Audit Support

GFX's audit/legal team represents the client at audit, appeals, and federal court — at no additional cost.

Client/Advisor never faces this alone.



Tax Opinion Letter

Every client receives a personalized, independent third-party tax attorney opinion letter evaluating their specific positions.



IRC Legal Foundation

Grounded in **IRC §704(b), § 475(f), § 752, § § 6221-6226**, **Treas. Reg 301.7701-3**, and **Delaware Series LLC law**.

-All agreements executed before filing.
-DRO is a documented, recourse obligation.

Referral & Onboarding Process

01

Before Referral

Qualify the Client

CPA / Advisor

Confirm \$1M+ OI or \$1M+ CG. Verify accredited investor.
Client wants liquidity over 1031. (No W-2 Income)

02

Week 1

Strategy Review Call

Veracity

Complimentary 30-min call with advisor and/or client.
Disclaimers acknowledged, suitability confirmed.

03

Weeks 1–2

Formal Document Package

GFX Trading

Client receives full package: structural overview, draft LLC agreements, sample K-1, Promissory Note.

04

Weeks 2–3

Tax Review & Opinion

CPA / Veracity

Client's CPA reviews documents. Independent tax opinion letter ordered from third-party attorney.

05

Weeks 3–5

Execute & Fund

Client / GFX

Agreements signed, cash wired (12.5% or 10% of offset).
Capital Account/AMLLC bank account established.

06

Q1 Following Year

K-1 Issued & Filed

GFX / Veracity

GFX issues Year 1 K-1 loss. Client's CPA reports the offset.
Veracity supports CPA during filing.
Capital Account reconciliation meeting schedule for Q1

Next Steps *(Advisors & CPAs)*

Let's identify qualifying clients and start the conversation



1

Schedule a Strategy Review Call

30-min complimentary session — client suitability review and full structure walkthrough

2

Request the Document Package

After executing the advisory agreement and NDA, receive GFX formal overview, draft LLC agreements, sample K-1, and Sub-Promissory Note

3

Submit a Client Referral

Veracity handles the full presentation, documentation, and GFX coordination

4

Join an Advisor Webinar

Live deep-dive with Q&A.